

MORE BANG FOR THE INDIGENOUS BUCK

The government walks the talk on its indigenisation thrust by loosening its purse strings to facilitate R&D funding for the private sector. Policy implementation will remain a key challenge

By SANDEEP UNNITHAN

India's defence budget for 2022-23 saw a modest 10 per cent hike from Rs 4.78 lakh crore to Rs 5.25 lakh crore. Last year's defence budget grew only by 1.4 per cent. India has the world's third-largest military budget after the US and China, but because its military is manpower-intensive, it spends more on salaries and pensions than on modern equipment. Over 60 per cent of the military hardware in Indian inventory is imported. Continued defence imports lead not only to dependence on external sources, but also an outflow of foreign exchange and the creation of high-technology jobs in foreign countries.

This year's defence budget saw an increase in defence capital expenditure—from Rs 1.35 lakh crore to Rs 1.52 lakh crore—a trend seen over the past three budgets. The government is hiking outlays to buy defence hardware like warships, fighter jets and howitzers, but is also steadily increasing the hardware it buys from within India. Last year, it bought 58 per cent of its requirements, worth over Rs 70,000 crore, from Indian industry. This year, it plans to increase it to 68 per cent, or Rs 1 lakh crore. "India's MSME sector will be greatly benefitted by the reservation of 68 per cent of the defence capital budget for the domestic industry," Prime Minister Narendra Modi told partymen on February 2. Buying locally has a great force multiplier effect on the local industry—it creates jobs in the high-tech sector, sustains an ecosystem of MSMEs and builds knowhow to develop more sophisticated hardware within the country. "Capital outlays for domestic industries will sustain investments and attract fresh capacity creation," says S.P. Shukla, president, Society of Indian Defence Manufacturers. The indigenisation thrust thus fits in with the government's larger budgetary goal to boost capital spending and creating jobs within the country.

The government's Aatmanirbhar policy, though, still suffers from a lack of a clear roadmap for indigenous production over the next decade. "There should be rigorous monitoring of indigenisation goals by an agency like the Defence Acquisition Council," says a